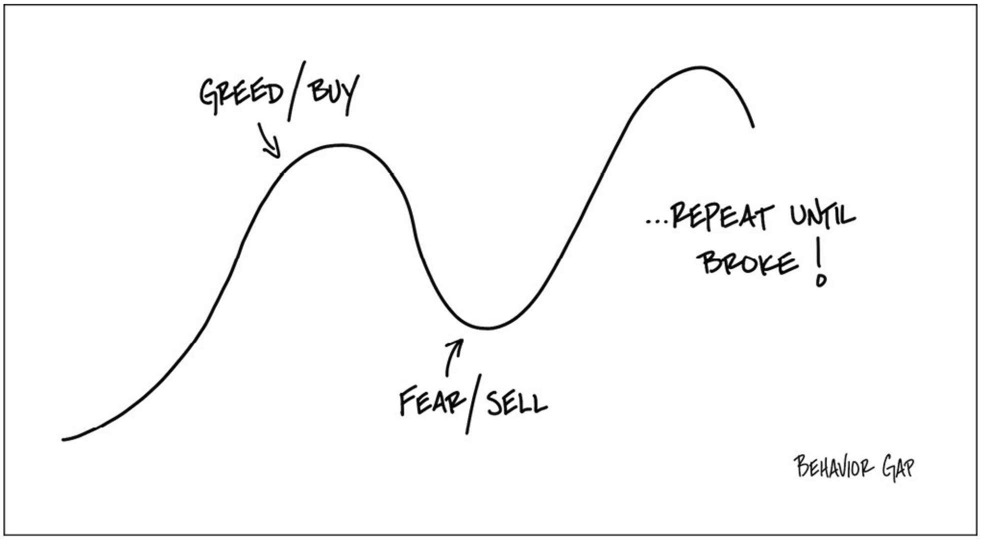
Avoid Mistakes

A SKETCH OF "FEAR GREED," #1 of 500, hangs on the wall of my office. Carl Richards created the most insightful drawing ever about your biggest investment mistake. When Carl first started out as The Sketch Guy, I gave away print editions #2–50 as holiday gifts.



Carl's sketch shows why *most investors underperform their own assets*. That sounds almost impossible, but a quick look at the data shows it is actually a very common result.

In order to obtain returns that mirror your own holdings over an extended period of time, you have to 1) own them for that entire period; 2) make your purchase during normal periods of price, for example not chasing the new hotness upwards and buying near all-time highs; and 3) not sell prematurely when they fall, or otherwise interfere with the power of compounding.

It's *simple, but hard*—simple in the abstract, but difficult to execute in the real world. Most of us lack the understanding, discipline, and skill to do this effectively.

Each quarter, J.P. Morgan releases its "Guide to the Markets."[393] It's 75